SYNTHETIC TRAINING RECORD — FICTIONAL PARTIES, PEOPLE, PLACES, IDENTIFIERS, AND EVENTS — NOT A REAL FILING COUNTERFACTUAL — NEVER FILED OR ENTERED — DOES NOT ALTER THE ACTUAL DISTRICT RECORD

Counterfactual Blue Ember Reply Brief

United States Court of Appeals for the Fourth Circuit Blue Ember Biologics, LLC v. Granite Heron Logistics, Inc. No. SYN-CA4-26-CV-4105-CF-NEVER-OCCURRED Filed April 20, 2026

Granite Heron treats a fully specified motion as if it supplied the missing evidentiary compulsion. It does not. Blue Ember accepts, for this isolated branch, that mitigation was presented twice before verdict with exact notice and a cure opportunity. That assumption permits merits review but leaves the demanding Rule 50 standard unchanged.

The record supports a real Cobalt Finch opportunity and a rational decision to assign it less value than Park did. Qualification remained incomplete, the transfer calendar depended on linked gates, manufacturing did not equal final disposition, and neither expert supplied a probability that compelled the defense outcome. Jurors could recognize partial avoidance without accepting every successful-path input.

Blue Ember therefore renews its request to reverse mitigation JMOL and vacate the $2,700,000 amended judgment. If the Court instead affirms, the disposition should contain only affirmance of that JMOL and that amended judgment. The conditional Rule 59 ruling and possible damages-only scope remain dormant and should not be decided.

Preservation decides access, not weight

The assumed initial motion identified Cobalt Finch and the requested $1,500,000 deduction; the assumed renewal repeated the ground after all proof. Blue Ember also received a hypothetical chance to answer. Those facts eliminate continuity and surprise disputes under Rules 50(a)(2) and 50(b).

Plyler v. Cox, 145 F.4th 501, 510–11 (4th Cir. 2025), regulates access to renewed judgment: a distinct basis first raised under Rule 50(b) is unavailable, although the general sufficiency issue raised under Rule 50(a) remains reviewable. The assumed motions place this distinct mitigation basis on the preserved side of that line. Specificity still does not convert Granite Heron's evidence into fact.

Wiener v. AXA Equitable Life Insurance Co., 153 F.4th 413, 422 (4th Cir. 2025), permits variation between a sufficiency issue preserved in Rule 50(b) and appellate theory. It does not relax the Rule 50(a)-to-Rule 50(b) boundary. Once the branch's express-preservation threshold is crossed, the court still must credit evidence and reasonable inferences supporting the verdict.

Granite Heron's response repeatedly moves from "preserved" to "compelled" without performing that second inquiry. The jury heard why Cobalt Finch was capable, why the opportunity mattered, and why a sponsor could discount the most optimistic schedule. Its partial deduction reconciles those facts rather than ignoring them.

The branch premise is therefore meaningful but narrow. It prevents Blue Ember from relying on the wording of the actual causation-only motions. It cannot erase Calder's qualifications, Solis's contemporaneous assessment, Brooks's modeling criticism, or Granite Heron's burden to prove both unreasonable conduct and amount.

Granite Heron still bears the affirmative-defense burden

Under North Carolina law, mitigation remains Granite Heron’s affirmative defense. *Thermal Design* places on the breaching party the burden to establish a failure to use reasonable care and the reduction reasonably attributable to that failure. *Clark v. Bichsel* confirms that allocation rather than shifting uncertainty to the injured party.

Granite Heron says Blue Ember lacked a quantified competing model. That reverses the burden. Park’s internally coherent calculation did not require Blue Ember to prove a different exact outcome. If reasonable jurors could doubt any linked assumption supporting the claimed $1,800,000 avoidance, Granite Heron could not obtain the full net deduction as a matter of law.

The disputed links included program readiness, engineering success, downstream testing, disposition timing, cancellation exposure, and the amount of delay actually saved. Calder did not label those risks fatal, but she did not assign certainty. Brooks explained why available materials could not support Park’s complete outcome with the confidence her figure implied.

A jury may choose an intermediate amount when the evidence establishes a genuine opportunity but leaves its likely value uncertain. The $300,000 deduction does not shift the burden; it reflects Granite Heron’s success in proving some avoidable loss and its failure to compel the maximum number requested.

Capability did not establish program readiness

Cobalt Finch possessed suitable general infrastructure: frozen receiving, single-use systems, trained personnel, relevant scale, and analytical access. Blue Ember never argued that the Durham suite was imaginary. The live question was whether those assets would support BE-214 on the accelerated sequence with the modeled financial result.

Program-specific comparison remained incomplete. Cobalt Finch had not made BE-214, detailed equipment mapping was unfinished, method responsibilities were unresolved, and no sponsor audit had occurred. Training, document adaptation, material review, engineering confirmation, and formal readiness still separated a reserved slot from manufacturing authorization.

Granite Heron responds that no fatal incompatibility was known. That observation proves only that further diligence was reasonable; it does not prove what the diligence would show. A focused assessment exists precisely because general capability cannot answer every product-specific question before controlled information is exchanged.

The jury was entitled to distinguish opportunity from assured performance. It could conclude that Blue Ember should have reserved the slot while also discounting the chance that all gates would be cleared on Park’s calendar. Rule 50 requires that favorable inference even if a judge considers the alternative more persuasive.

Timing and cost admitted more than one inference

December 2 was the proposed manufacturing start, not a promised release date. Campaign activity projected near December 20 would be followed by testing, batch-record review, deviation resolution if needed, and quality disposition. Park left some delay in her model, but the record did not compel her chosen residual amount.

The $300,000 transfer figure was a working estimate attached to a defined accelerated scope. It was not a guaranteed ceiling across every readiness outcome. Staged charges could be incurred before cancellation, personnel might be duplicated, and Aurora Quay still could remain necessary if the alternate course stopped.

Granite Heron calls those possibilities unquantified. That is why they support a range of reasonable inferences rather than a rival award demanded as a matter of law. A jury deciding an affirmative defense may discount a model when its uncertainty is grounded in concrete uncompleted tasks and conditional terms.

The defense also relies on another sponsor's later booking. That fact establishes scarcity, not BE-214 success. It says nothing about method transfer, engineering confirmation, or final disposition for this program. The verdict reasonably valued the lost option without treating unrelated use as proof of Park's precise savings.

The intermediate verdict was anchored in the evidence

The jury separately identified $4,200,000 in gross loss and a $300,000 net mitigation deduction. It had been instructed to account for reasonable alternative expense and to keep the original-lot value distinct. The resulting October 15 judgment was $3,900,000, a transparent arithmetic consequence of those findings.

Granite Heron argues that no witness recited the jury’s exact net number. Verdicts need not duplicate an expert endpoint. Jurors could combine a probability-adjusted portion of claimed delay avoidance with transfer expense, or find that later disposition reduced the acceleration materially. Both paths arise from admitted evidence.

Park’s calculation was one permissible view: $1,800,000 in gross avoidance minus $300,000 in expense. It was not the only view. Brooks disputed the confidence of its timing assumptions, Calder described elevated execution risk, and Solis explained why a validated later facility remained a reasonable comparator.

The district court’s replacement of the jury figure necessarily selected the complete successful-path model. That may resemble Rule 59 weighing, but it exceeds Rule 50. Viewing the record for Blue Ember, a rational factfinder could reject most of the claimed avoidance while retaining a meaningful deduction.

The conditional ruling should remain untouched on affirmance

Judge Carver conditionally granted a new trial on gross damages and mitigation under Rule 50(c)(1). The order states what would occur if the renewed judgment later ceased to control. It excludes liability and causation from the proposed scope, but it does not commence a retrial while JMOL remains effective.

Blue Ember challenges both the clear-weight conclusion and the limited scope in the event this Court reverses JMOL. Those questions could then require analysis under Rule 50(c)(2), *Atlas Food Systems*, and *Rice*. They are not necessary if the panel affirms renewed judgment.

Granite Heron correctly agrees that an affirmance path should not decide them. The panel must avoid language that converts procedural dormancy into approval. The conditional ruling remains legally present, but neither its Rule 59 basis nor the separability of financial issues forms a disposition component.

This restraint matters beyond phrasing. The frozen branch expects exactly two components on the adverse merits path: affirm mitigation JMOL and affirm the amended judgment. Adding a ruling on the conditional order would answer a question the operative judgment makes unnecessary and distort the counterfactual training comparison.

Relief and service certification

Blue Ember asks the Court to reverse mitigation JMOL because the Cobalt Finch evidence permitted competing inferences about successful qualification, timing, cost, and net benefit. The preservation assumption removes one procedural argument; it does not allow the court to weigh those inferences against the verdict.

The Court should vacate the $2,700,000 amended judgment and address the conditional order only to the extent Rule 50(c)(2) then requires. If the Court rejects Blue Ember's merits argument, it should affirm the JMOL and amended judgment without deciding the conditional Rule 59 ruling or its damages-only scope.

Maya Holt signs for Blue Ember with Jonas Bell's authorization and certifies electronic service on Eli Mercer and Tara Webb on April 20, 2026. Counsel used only the isolated docket and does not represent that this reply was filed in an actual court.

The fixed shipment evidence, facility names, dates, witnesses, and monetary arithmetic remain synthetic canon. This response neither alters the actual Rule 50(a) sources nor creates preservation outside the February 2 premise. Every possible opinion, judgment, rehearing event, and mandate following it remains counterfactual and never entered.